2009 HSC ECONOMICS

ECONOMIC OBJECTIVE: PRICE STABILITY

To achieve a low and stable rate of inflation.

WHAT IS PRICE STABILITY?

Price stability means keeping inflation low (around 2–3%) and stable over time.

It maintains purchasing power, reduces uncertainty and supports sustainable economic growth and employment.

1. NATURE OF PRICE STABILITY

Price stability is about keeping the general level of prices (inflation) low and stable over time – not zero inflation.

2. DIMENSIONS (WHAT IT LOOKS LIKE)

- **LOW INFLATION:** The average rate of increase in prices remains low.
- **STABLE INFLATION:** Inflation does not fluctuate widely over time.
- **PREDICTABILITY:** People can form reliable expectations about future prices and wages.
- **SUSTAINABLE:** Achieved without relying on ongoing interventions.

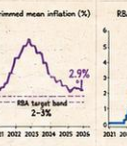
3. KEY MEASURES – LATEST DATA

Source: ABS Consumer Price Index, Australia (March 2026)
Source: RBA Statement on Monetary Policy (May 2026)

CPI ANNUAL INFLATION (Year-ended)	CPI MONTHLY CHANGE (Seasonally adjusted)	TRIMMED MEAN INFLATION (Year-ended)	RBA CASH RATE (Effective rate)
Change in CPI over the past 12 months.	Change in CPI over the most recent month.	Underlying inflation – excludes volatile items.	Interest rate set by the RBA to influence inflation and economic activity.
4.6% March 2026	**1.1%** March 2026	**2.9%** March 2026	**4.35%** as at 6 May 2026









RBA INFLATION TARGET 2–3% over the cycle

LATEST CASH RATE MOVE +0.25 percentage points on 6 May 2026

DID YOU KNOW?

A little inflation is normal and even desirable – it encourages spending and avoids the risks of deflation.



...THAT'S WHY PRICE STABILITY MATTERS!

- Protects living standards
- Helps businesses plan and invest
- Keeps interest rates lower over the long run.
- Supports economic growth and employment

4. POLICIES THAT INFLUENCE PRICE STABILITY

MONETARY POLICY (RBA)

- Cash rate target (main tool)
- Open market operations
- Forward guidance

HIGHER CASH RATES
Help reduce demand and lower inflation.

FISCAL POLICY (GOVERNMENT)

- Manage aggregate demand through spending and taxation
- Avoid excessive stimulus when economy is above potential

SUPPLY-SIDE POLICIES

- Improve productivity and competition
- Reduce cost pressures (e.g. energy, transport, regulation)

5. HOW TO EVALUATE SUCCESS – A STEP-BY-STEP GUIDE

1 IDENTIFY THE OBJECTIVE
Price stability = low and stable inflation (target 2–3% over the cycle).

2 IDENTIFY THE RELEVANT INDICATORS
Use the key measures on the left and look at both the level and the trend.

3 ANALYSE THE EVIDENCE
- Is headline inflation within the target band?
- Is underlying (trimmed mean) inflation within the band?
- Is monthly CPI showing stable movements?

4 WEIGH UP TRADE-OFFS & SIDE EFFECTS
- Higher interest rates can slow inflation but may slow growth and raise unemployment.
- Lower inflation via lower demand can cause short-term cost to jobs and wages.

5 MAKE A JUDGEMENT
Overall, have policies been successful in maintaining price stability? Consider:
☑ Evidence ☑ Trade-offs ☑ Time period ☑ Context

6 CONCLUSION
State a clear judgement with reasons.

6. CURRENT CONTEXT – WHY IT MATTERS NOW

- Headline inflation is above the RBA's target band at 4.6% (Mar 2026), largely due to higher prices for services, housing and insurance.
- Underlying inflation (trimmed mean) is 2.9% and is within the target band.
- Monthly CPI rose 1.1% in March 2026 – a reminder that short-term movements can be volatile.
- The RBA has maintained a restrictive policy stance; the cash rate is 4.35% following a +0.25 pp increase on 6 May 2026.
- The challenge is to bring inflation down sustainably without causing a sharp rise in unemployment or a recession.

EXAMPLE: HOUSING COSTS



Rental and new dwelling costs continue to put upward pressure on inflation. Policies that improve housing supply (more homes built faster) reduce cost pressures over time.

KEY TAKEAWAY

Price stability is best achieved when inflation is low, stable and within the 2–3% target band over the cycle. Use data, context and judgement to evaluate whether economic policies are succeeding.

EVALUATE – DON'T JUST DESCRIBE!

- Look at the trend, not just the number.
- Consider both benefits and costs.
- Use evidence and make a judgement.

DATA MATTERS
JUDGEMENT COUNTS